Referral loops

Week 9, Lecture 2 · B2C to $10k MRR

Autumn 2026 · A 10-Week Growth Manual for Technical Founders

What we'll cover

- Incentivized vs organic referrals: when each fits
- Dropbox two-sided incentives: five success factors and three indie caveats
- Share-the-product vs share-the-result: why Duolingo streaks outperform invite links
- Measuring referrals without fabricating attribution
- Public profiles, leaderboards, and artifacts as passive share loops

Two types of referral

Incentivized referrals

An **incentivized referral** offers a tangible reward to the referrer, the referred user, or both in exchange for the referral action.

Examples:

- Dropbox: 500MB storage to referrer + 500MB to new user (GrowSurf, Petrova 2026)
- Airbnb: travel credit to referrer, discount to referred user
- Cash App: cash to both parties

Works well when:

- The reward is tied directly to the product's core value
- The referral happens early in onboarding (before the user loses momentum)
- The economics work: CAC from referral < LTV of referred user

Organic referrals

An **organic referral** happens because the user genuinely wants to share. No reward changes hands.

Examples:

- Sharing a Wordle result grid because it’s fun, not because Wordle pays you
- Telling a friend about a useful app because you want them to have it
- Posting a Spotify Wrapped card because it represents your identity

Organic referrals are more durable than incentivized ones. The motivation is intrinsic. But they require the product to create moments worth sharing.

The question is not "should we have a referral program?" but "does our product create shareable moments?"

The Dropbox two-sided incentive

What Dropbox did

Dropbox grew from 100,000 users to 4 million in 15 months (3,900%) using a two-sided referral program.

Mechanics (GrowSurf, Petrova 2026):

- Referrer receives 500MB of free storage (up to 16GB cap)
- Referred user receives 500MB
- Integrated at the final step of onboarding
- Transparent progress dashboard showing earned storage
- Minimal friction: single-page sharing with multiple share options

The reward was the product. Storage was what Dropbox users cared about most. Earning more by sharing felt natural, not transactional.

Five success factors

1. **Reward tied to core value.** Storage = the thing Dropbox users most wanted. A $5 gift card would have felt cheap. More of the product felt generous.
2. **Onboarding integration.** The referral prompt appeared after the user had experienced the product, not before.
3. **Transparent progress.** Users could see how much they had earned. Progress dashboards drive completion.
4. **Minimal friction.** One page, multiple share channels, pre-written copy.
5. **Viral email loops.** Shared files triggered emails to non-users, creating additional acquisition paths.

(GrowSurf, Petrova 2026)

Three indie caveats

Dropbox is a canonical case study. It is also a $100M-funded company in 2008. Before copying it:

1. **Two-sided incentives require unit economics that work.** 500MB of storage cost Dropbox fractions of a cent. What does your reward cost? If it costs real money, the referral CAC may exceed LTV.
2. **The reward must match the product.** "Get $5 credit" for a $3/month app means the reward is worth 1.7 months of subscription. That changes the relationship.
3. **Fraud risk.** Self-referrals are the most common abuse pattern. Dropbox handled this with IP + device fingerprinting. Do you have equivalent fraud detection?

Start simpler. A share button with measurement is a referral mechanism. Build up.

Share-the-product vs share-the-result

The difference

Share-the-product: "I invite you to use [Product]." The referrer is asking the recipient to do something. Friction: the recipient must evaluate the product before deciding.

Share-the-result: "Look at what I did with [Product]." The referrer is sharing an achievement, score, or artifact. The recipient sees value before signing up.

Share-the-result loops work because:

- The shared content has intrinsic interest to the recipient
- Signing up feels optional, not asked-for
- The social proof is embedded in the artifact itself

Duolingo Friend Streaks: the canonical example

Duolingo's Friend Streak (2024) is a social extension of their core streak mechanic:

- Two users maintain a shared daily streak together
- Both must complete a lesson each day to keep it alive
- The streak count is visible to both parties

Result: users with at least one Friend Streak are **22% more likely to complete their daily lesson** than users without one.

(Duolingo, 2024)

This is a share-result loop. The shared object (the streak count) is the result of both users' behavior, not a product invitation. The social obligation is intrinsic to the mechanic.

Why it works: the Hook Model angle

Nir Eyal’s Hook Model (Eyal, 2014) identifies investment as the fourth step: effort, data, or social capital the user puts in that increases the probability of return.

A Friend Streak is investment made social:

- Each user has invested in their streak
- Breaking the shared streak costs social capital, not just personal habit
- The external trigger (push notification: "Your friend finished their lesson") arrives at the moment the user is most likely to act

The mechanic converts an internal trigger (habit + identity) into an external reinforcement loop between two users.

Measuring referrals

Attribution is harder than it looks

Most referral attribution is imprecise. Common methods and their failure modes:

- **Referral link with UTM:** accurate for direct clicks, fails for "told a friend in person" referrals
- **Promo code:** accurate when redeemed, undercounts users who heard about it and signed up directly
- **Last-click attribution:** attributes the signup to whichever channel the user last touched, which may not be the referral at all
- **Ask at signup:** "how did you hear about us?" self-reported, response rate low, recall inaccurate

Honest referral measurement picks one method, acknowledges its floor, and tracks trends rather than absolutes.

The number to track

Referrals per active user per month. Not total referrals, not K-factor yet.

Why this number:

- Denominates by active users, so it moves with engagement, not just list size
- Monthly cadence matches typical referral program review cycles
- Actionable: if it is 0.0, you have no share mechanism at all; if it is 0.1, one in ten active users referred someone; if it is above 0.5, referral is a real channel

Set a baseline before launching any referral mechanism. Without a baseline, you cannot measure lift.

Passive share loops

Not every referral requires a referral program. Three patterns that generate referrals without explicit mechanics:

1. **Public profiles.** A user's work is visible to non-users (Figma files, GitHub repos, Notion pages). Viewing requires no account; creating does.
2. **Leaderboards.** Ranking creates identity. Users share their rank because it reflects status. Non-users must sign up to compete.
3. **Shareable artifacts.** Outputs from your product that embed a product logo or attribution: the Spotify Wrapped card, the Wordle grid, the BeReal screenshot.

All three share the result, not the invitation. The product appears in the shared content rather than in the pitch.

> "Every successful network product has solved the Cold Start Problem, and most of them solved it the same way: by starting with a small, highly engaged atomic network."

Andrew Chen, The Cold Start Problem (2021)

Take-aways

1. Incentivized referrals work when the reward is the product's core value and the unit economics hold. Two-sided programs (Dropbox model) are expensive to operate at small scale.
2. Share-the-result loops outperform share-the-product loops because the shared artifact carries its own value before the recipient signs up.
3. Duolingo's Friend Streak generates 22% higher daily completion by making the streak social: the result is shared, not the invitation.
4. Honest referral measurement picks one method, acknowledges its failure mode, and tracks trends rather than absolutes.
5. A share button with measurement is a referral mechanism. Start there.

What's next

- **Reading:** "Week 9: Lifecycle messaging and referral loops" at `/c/b2c-10k-mrr-26au/readings/wk09`
- **Section this week:** Wire one triggered lifecycle message end-to-end; baseline and uplift estimate due
- **Thursday build block:** Ship your referral mechanism (at minimum: a share button with tracking)
- **Week 10:** Capstone sprint: diagnose, prioritize, defend your growth stack